

Table 13.9 Busted Patterns

Description	Up Breakout	Down Breakout
Busted patterns count	116 or 21%	100 or 47%
Single bust count	61 or 53%	75 or 75%
Double bust count	36 or 31%	3 or 3%
Triple+ bust count	19 or 16%	22 or 22%
Performance for all busted patterns	−14%	50%
Single busted performance	−22%	65%
Non-busted performance	−13%	39%

Comparing non-busted patterns to all varieties of busted patterns (single, double, triple+), we find that busted patterns outperform non-busted ones. Yippee!

If you see a descending broadening wedge with a busted downward breakout, then consider trading it after price closes above the top of the pattern. Ride price higher.

Trading Tactics

Table 13.10 shows trading tactics.

Measure rule, targets. For upward breakouts, the price target is the top of the pattern. That sounds like it would be easy to reach, and it is for 83% of the patterns. That means 17% never make it up that far before seeing a substantial drop.

The bottom portion of the table shows how effective it is to use the pattern's height applied to the breakout price. If you use half the pattern's height added to the top of the pattern, price will reach it 65% of the time after an upward breakout.